Note 11 — Income Taxes

Following is a schedule of the income tax expense (benefit) (in thousands):

	Years Ended December 31,		
	2010	2009	2008
Federal			
Current	$4,578	$5,377	$ (116)
Deferred	239	2,549	744
Sub-total	4,817	7,926	628
State			
Current	740	1,144	759
Deferred	428	(429)	38
Sub-total	1,168	715	797
Foreign			
Current	—	(280)	280
Total	$5,985	$8,361	$1,705

Reconciliations of the expected tax or (benefit) at the statutory tax rate to the recorded tax or (benefit) are as follows (in thousands):

	Years Ended December 31,		
	2010	2009	2008
Expected tax expense (benefit) at the statutory tax rate	$5,553	$ 8,895	$1,055
State taxes	512	1,994	859
Increase (decrease) in deferred state tax asset valuation allowance	396	(1,680)	(320)
Permanent items	(424)	(546)	23
Other	(52)	(120)	(97)
Foreign taxes	—	(182)	185
Recorded tax or (benefit)	$5,985	$ 8,361	$1,705

The net deferred tax asset for the Company was $1,031,000 and $1,698,000 at December 31, 2010 and 2009, respectively. At December 31, 2010, the net deferred tax asset was comprised of $1,031,000 attributable to temporary differences (including $1,120,000 associated with the Company's investment in Hallwood Energy). At December 31, 2009, the deferred tax asset, was comprised of $1,273,000 attributable to temporary differences (including $1,120,000 associated with the Company's investment in Hallwood Energy), and $425,000 of state tax credits.

For 2010, the Company's taxable income was principally attributable to operating income from Brookwood, partially offset by corporate administrative expenses.

For 2009, the Company fully utilized its remaining federal net operating loss carryforward and alternative minimum tax credits and reported taxable income of $16,839,000 on its federal income tax return for the year ended December 31, 2009, principally attributable to operating income from Brookwood.

In 2008, the Company reported a taxable loss of $2,325,000 which resulted principally from operating income from Brookwood, offset by the flow-through of its partnership losses from its Hallwood Energy investment. Due to the taxable loss, the Company did not pay any federal income tax related to its 2008 operations.

The Company had a federal income tax receivable (payable) of $473,000 and $(814,000) at December 31, 2010 and 2009, respectively, and net state taxes receivable (payable) of $593,000 and $(262,000) at December 31, 2010 and 2009, respectively.

After filing its 2007 federal income tax return with the Internal Revenue Service in September 2008, the Company filed a carryback of its 2007 taxable loss and received a tax refund in October 2008 in the amount of $12,347,000.

At December 31, 2008, the Company had approximately $8,164,000 and $53,337,000 of net operating loss carryforwards for federal and state income tax purposes, respectively. The Company's net operating loss carryforward for federal income tax purposes was approximately $786,000 greater than its net operating loss carryforward for financial reporting purposes due to the Company's inability to realize excess tax benefits under FASB ASC Topic 718 until such benefits reduce income taxes payable. At December 31, 2008, the Company had approximately $759,000 of alterative minimum tax credit carryforwards for federal income tax purposes. The Company utilized its federal net operating loss carryforwards and alternative minimum tax credit carryforwards during 2009 including the additional $786,000 for financial reporting purposes.

Financial statement deferred tax assets must be reduced by a valuation allowance if, based on the weight of available evidence, it is more likely than not that some portion or all of the deferred tax assets will not be realized. At December 31, 2008, the Company believed that the majority of the deferred state tax assets, principally related to Arkansas and Louisiana, in the amount of $1,682,000 would not be realized, therefore the Company maintained a valuation allowance of $1,680,000 as of December 31, 2008. At December 31, 2009, the Company determined that the tax loss carryforwards related to Arkansas and Louisiana would never be realized and, accordingly, no deferred tax asset or related valuation allowance was reported for these carryforwards. In addition, at December 31, 2009, the Company determined that, the deferred tax assets related to Texas would be realized and did not record a valuation allowance. However, at December 31, 2010, the Company determined that based upon events occurring in 2010, it was more likely than not that the $396,000 tax credit related to Texas would not be realized. Accordingly, at December 31, 2010, the Company recorded a valuation allowance of $396,000 related to the Texas deferred tax asset.

A schedule of the types and amounts of existing temporary differences and NOL's, at the blended statutory tax rate of 35% for 2010 and 2009 and 34% for 2008, as of the balance sheet dates are as follows (in thousands):

	Deferred Tax Asset, Net			
	December 31, 2010		December 31, 2009	
	Assets	Liabilities	Assets	Liabilities
Equity in earnings of unconsolidated affiliates	$1,120	$ —	$1,120	$ —
Reserves recorded for financial statement purposes and not for tax purposes	762	—	968	—
Tax credits — state	396	—	425	—
Other	6		28	—
Depreciation and amortization	—	857	—	843
Deferred tax assets and liabilities	2,284	$ 857	2,541	$ 843
Less: Deferred tax liabilities	(857)		(843)	
	1,427		1,698	
Less: Valuation allowance	(396)		—	
Deferred tax asset, net	$1,031		$1,698	